Operating profit

$ million	2019	Adjusted operating margin[1,2] %	2018	Adjusted operating margin[1,2] %
Networks & Security	**73.9**	**23.1**	56.4	19.8
Lifecycle Service Assurance	**18.1**	**16.3**	17.4	15.4
Connected Devices	**9.5**	**13.1**	10.5	13.3
Corporate	**(8.6)**		(7.2)	
Adjusted operating profit[1]	**92.9**	**18.4**	77.1	16.2
Exceptional items	**0.5**		(13.1)	
Acquisition related costs	**(0.1)**		–	
Acquired intangible asset amortisation	**(1.2)**		(3.7)	
Share-based payment	**(3.5)**		(2.8)	
Reported operating profit	**88.6**		57.5	

Notes
1. Before exceptional items, acquisition related costs, acquired intangible asset amortisation and share-based payment amounting to $4.3 million in total (2018 $19.6 million).
2. Adjusted operating profit as a percentage of revenue in the period.

Adjusted operating profit increased by $15.8 million or 20.5 per cent to $92.9 million in 2019, compared with $77.1 million in 2018. Adjusted operating margin increased by 2.2 per cent to 18.4 per cent, from 16.2 per cent in 2018.

Reported operating profit was up by $31.1 million or 54.1 per cent to $88.6 million (2018 $57.5 million). Total adjusting items were lower in 2019 at $4.3 million, compared to $19.6 million in 2018, mainly due to exceptional items totalling $13.1 million charged last year (see below).

Exceptional items

Net exceptional income of $0.5 million has been recognised in 2019; this was comprised of:

1. $2.3 million of income received in relation to the provision set up in 2018 for French import duty (see below), which arose following a successful claim for reimbursement of VAT on the imports; and
2. $1.8 million of costs associated with a strategic review instigated by Spirent's new CEO, appointed 1 May 2019, involving a number of initiatives designed to evolve the strategic direction of Spirent to maximise market opportunities by creating a more agile, customer-focused organisation. These include a strategic focus on recurring revenue streams over time, a strengthened leadership team and development of our sales and marketing structure to drive improved effectiveness to exploit our leading technologies. The total exceptional cost of these planned changes is circa $4.5 million with the remainder of this cost to be incurred in 2020.

In 2018, the Group incurred $13.1 million of exceptional costs in relation to:

1. a provision for $9.1 million in respect of import duty and VAT following receipt of a Notice of Recovery from French Customs; and
2. a pension scheme past service cost of $4.0 million (£3.1 million) arising from a benefit change for GMP equalisation under the UK defined benefit pension plans.

Acquired intangible asset amortisation and share-based payment

As a result of some acquired intangible assets reaching the end of their useful economic lives and no longer being amortised, acquired intangible asset amortisation has continued to reduce, decreasing to $1.2 million in 2019 from $3.7 million in 2018.

Share-based payment has increased to $3.9 million in 2019 (2018 $2.8 million), of which $3.5 million (2018 $2.8 million) has been treated as an adjusting item. This increase reflects the incremental cost associated with new awards. See note 34 of Notes to the consolidated financial statements for more information.

Acquisitions and divestments

On 31 May 2019, Spirent acquired a key business from a small navigation systems company based in the United Kingdom, for cash consideration of $1.9 million. This company develops and supplies the Group with a system for recording GNSS and Wi-Fi signals, and is reported within the Group's Networks & Security operating segment. Costs related to the acquisition of $0.1 million were expensed and treated as an adjusting item. The transaction gave rise to an intangible asset of $1.0 million, being current technology with a useful life of five years, and goodwill of $0.9 million.

During 2018, a $2.0 million loan, which had previously been impaired, was repaid to the Group from subsidiaries divested of in 2017. In addition, a provision for $0.4 million relating to a disposal in 2012, which was classified as a discontinued operation, was released.

Currency impact

The Group's revenue and costs are primarily denominated in US dollars or US dollar-linked currencies. Currency exposures arise from trading transactions undertaken by the Group in foreign currencies and on the retranslation of the operating results and net assets of overseas subsidiaries.

The Group's income statement includes a foreign exchange loss, included in administration costs, of $0.6 million (2018 $0.6 million) arising from transacting in foreign currencies, primarily US dollars in the United Kingdom, and the translation of foreign currency cash balances.

Forward foreign currency exchange contracts are entered into to manage the exposure arising from transacting in US dollars in the United Kingdom.

Although the most significant currency exposure arises in relation to movements in pounds sterling against the US dollar, there are other less significant currency exposures, notably the Euro and Chinese Yuan.

Finance income and costs

Interest income of $2.7 million was earned from cash on deposit (2018 $1.4 million) and $0.1 million (2018 $nil) of interest income was recognised in relation to the UK defined benefit pension plans. The increase in bank interest received year-on-year reflected higher cash balances and proactive treasury management across the Group. Surplus funds are held principally in the United Kingdom and United States on short-term or overnight deposit and earn market rates of interest.